**1.**

Define / explain economic growth and / or recession, perhaps with reference to GDP, criteria for identifying parts of the economic cycle, the UK experience of recent years

Explain possible reasons, eg

- an economic shock such as higher oil prices. Higher oil prices may then impact on inflation since oil can be a significant cost of production and can adversely affect households' cost-of-living. Anti-inflation policy may need to be used such as higher interest rates but such a response, especially if too severe, might slow the economy too much. This and the declining confidence of households and businesses may bring about a downturn and eventual recession
- other external economic shocks, such as the global banking crisis or recession amongst our major trading partners for whatever reason
- deterioration in domestic leading sectors such as construction and the car industry
- high levels of demand domestically causing demand-pull inflation and remedial action by the authorities follows which inadvertently plunges the economy into recession
- government failure to take remedial action quickly enough or the wrong type of action or inadequate action as the macroeconomy deteriorates for whatever reason
- a slump in private sector investment with no compensatory activity in the public sector
- any other valid point.

Make use of diagrams in the analysis.

**[15]**

**2.**

**Issues and areas for discussion include**

| | |
|---|---|
| **Introduction** | • protectionism v free trade<br>• the UK balance of payments on current account<br>• the work of GATT/WTO<br>• the Doha Round of talks<br>• types of protectionism |
| **Developing the response to the question:** | • an overview of UK exports/imports; manufactures v services<br>• competitiveness of exports, e.g. productivity trends, innovation, design, other non-price factors which might compensate for increased protectionism or mean that we are at a greater disadvantage if these factors remain weak<br>• the potential significance of the exchange rate<br>• supply and demand elasticity conditions as far as exports and imports are concerned<br>• the danger of further deindustrialisation and the consequent impact on the balance of payments on current account<br>• the potential significance of the EU trade bloc and whether even more of our trade is with the EU as protectionism elsewhere increases<br>• account in the context of impediments to trade of various kinds<br>• any other valid issue |
| **Evaluation** | • the impact on the balance of payments may depend on the extent of the increased protectionist policies<br>• the impact may depend on the level of protectionism which existed before the further increase in trade barriers<br>• the degree of impact may depend on the flexibility of the supply-side of the UK economy to take appropriate action given the specific nature of increased protectionism<br>• the economic conditions in which the strengthening takes place around the world will be significant<br>• given that the UK may be part of the process of strengthening, it will have to consider the impact on import flows compared to the impact on export performance<br>• of some importance will be the particular elasticity conditions for exports and imports<br>• the different parts of the current account might be affected in different ways<br>*Examiners should note that it may be possible to award some marks for basic evaluation such as a consideration of the advantages and disadvantages of protectionism. However, this must be considered as* |

| | |
|---|---|
| | *low-level evaluation and awarded accordingly.* |
| **Also give credit for:** | • relevant use of evidence and examples from other economies<br>• diagrams<br>• an overall judgement on the issues raised |

**[25]**

**3.** **Issues and areas for discussion include**

| | |
|---|---|
| **Introduction** | • the concept of a single market<br>• other examples of single markets<br>• the development of the EU single market<br>• possible criteria for assessing benefits in outline. |
| **Developing the response to the question (analysis and application)** | *It will be perfectly legitimate for a candidate to cite benefits and, by evaluating these, to identify costs (or vice versa), eg competition as a spur to efficiency, but in evaluation, the UK not able to match the achievements in efficiency seen in some other member states with higher unemployment being a potential cost (consequence) of this.*<br>• economic growth<br>• economies of scale<br>• comparative advantage<br>• specialisation<br>• efficiency, with inefficient firms failing (static v dynamic efficiency)<br>• productivity<br>• competition<br>• choice of goods and living standards<br>• mobility of resources<br>• harmonisation of economic policies possible<br>• trade expansion/trade creation<br>• standardisation of national regulations<br>• greater ease of doing business between members<br>• investment<br>• the single market as a 'driver' to further enlargement of the EU in general (although some would see this as a cost)<br>• costs for the UK associated with being geographically separate from the rest of the EU and peripheral to the core<br>• unemployment<br>• low wages arising from mass immigration<br>• a steady weakening, perhaps ultimately loss, of UK economic links with the rest of the world as trade diversion becomes more prevalent<br>• costs associated with a 'survival of the fittest' scenario<br>• bullying by dominant members into accepting economic policies seeking to strengthen the single market which are not in UK's long-term interests<br>• regulations not necessarily being removed but imposed at EU, rather than national, level<br>• use of diagrams<br>• references to the real world. |

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| **Evaluation** | • much of any objective evaluation may rest on to what extent the single market is allowed to develop ultimately<br>• non-EU countries which did have strong economic ties with one or other members of a single market may find them weakening (trade diversion taking place), eg the Commonwealth and UK<br>• progress can be slow, eg the single market in services still needs to be developed, and yet some members are largely dependent on services<br>• a single market may not mean fewer regulations faced by members but just regulations raised to organisation, rather than national, level and this may not be efficient from the national perspective or, ultimately, from the single market perspective<br>• threat of competition for an individual economy from lower-cost members with implications for the balance of payments and jobs, perhaps irrespective of the efficiency gains in the higher-cost country<br>• labour mobility does not always deal with surplus/shortage problems very neatly and individual countries may suffer<br>• migration driven not by economic factors (e.g. prospects of employment) but the supportive mechanisms in place in the recipient countries (eg welfare and health-care),perhaps causing a heavier burden on an economy' s public finances and downward pressure on wages<br>• higher living standards for all cannot be assumed; improvements may well be patchy<br>• any economic benefits such as higher growth can be diluted by developments beyond the single market, notably global recession<br>• the possibility of any one member being continually pressured to accept developments e.g. the single currency and/or a common fiscal policy<br>• the drawing of different conclusions is possible when considering the likelihood of a two-speed EU, ie euro members v non-euro members<br>• a final judgement on the potential benefits of the single market for a country such as the UK. Some central facts: access to 500m people; over half of UK trade is with other members of the single market; estimated that 3.5mn UK jobs are linked to export of goods and services to the remainder of the single market; another estimate suggests that member countries trade twice as much with each other as they would in the absence of the single market.<br><br>*Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.* |

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

**[25]**

**4.** **Issues and areas for discussion include**

| | |
|---|---|
| **Introduction** | • deflation v inflation<br>• criteria for assessing the economic impact of deflation<br>• the relevance of the issue to the last few years |
| **Developing the response to the question:** | • the shorter term benefits in terms of consumer demand for goods and services falling in price<br>• competitiveness<br>• impact on profits and hence possibly on investment and on sustainability of businesses<br>• the impact on confidence, especially where deflation is a feature of a recession<br>• economic growth<br>• employment<br>• trade flows and the impact on the balance of payments on current account<br>• inward investment<br>• UK experience<br>• the potential impact on consumer demand<br>• the impact on the real value of debt, important particularly in light of high UK home ownership<br>• the impact on the exchange rate<br>• any other valid issue |
| **Evaluation** | • whether or not deflation has set in worldwide or just nationally<br>• the extent of the deflation<br>• the duration of the deflation<br>• the flexibility/resources the government/central bank has to deal with the problem<br>• the extent of damage to consumer and business confidence<br>• how much it impacts on profits<br>• whether deflation causes consumers to keep delaying purchases hoping for even lower prices<br>*Examiners should note that it may be possible to award some marks for basic evaluation such as a consideration of the advantages and disadvantages of deflation. However, this must be considered as low-level evaluation and awarded accordingly.* |
| **Also give credit for:** | • relevant use of evidence and examples from other economies<br>• diagrams |

| | |
|---|---|
| | • an overall judgement on the issues raised |

**[25]**

**5.**

**Issues and areas for discussion include**

| | |
|---|---|
| **Introduction** | • definition of supply-side reforms<br>• the balance of trade in goods<br>• improvement: reduced deficits or from deficit to surplus. |
| **Developing the response to the question (analysis and application)** | • aggregate supply<br>• aggregate demand<br>• productive capacity<br>• cost-push/demand-pull inflation<br>• productivity<br>• the concept of competitiveness<br>• supply-side reforms in outline<br>• objectives of reforms, e.g. flexibility, mobility, quality, lower unit costs,<br>choice, structural change<br>• individual reforms relevant to the trade in goods<br>• the significance of overseas demand for UK exports and UK demand for imported goods<br>• other policies not linked to the supply side<br>• use of diagrams<br>• references to the real world. |
| **Evaluation** | • the nature, extent and effectiveness of UK reforms in relation to those of other countries<br>• whether or not supply-side reforms can in any way compensate for decades of deindustrialisation so that imported goods are an inevitability<br>• the long-term nature of reforms so that deficits may persist in the short and medium terms<br>• the significance of changing tastes in world markets<br>• supply-side reforms at a time of a sustained global downturn<br>• supply-side reforms concentrating on lowering unit costs rather than quality and choice, so imports remain attractive, exports no more attractive<br>• whether supply-side reforms will always be a story of 'too little, too late'<br>• relative merits of supply-side policies to other policies that can be used to reduce deficits eg significance of exchange rates<br>• a final judgement, perhaps in the context of recent UK experience.<br><br>*Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.* |

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

**[25]**

6.

**Issues and areas for discussion include**

| | |
|---|---|
| **Introduction** | • explanation of globalisation<br>• how benefit can be measured<br>• macroeconomic performance criteria |
| **Developing the response to the question:** | • economic growth<br>• employment/unemployment<br>• inflation/price stability/deflation<br>• trade flows<br>• investment flows<br>• balance of payments<br>• competitiveness<br>• any other valid issue |
| **Evaluation** | • not knowing what might have happened to the UK economy had globalisation not become so evident<br>• the assessment may depend on the view taken of how significant or essential globalisation has been in bringing about various domestic supply-side reforms<br>• whether cyclical factors have sometimes prevented the UK from obtaining the full benefit of globalisation<br>*Examiners should note that it may be possible to award some marks for basic evaluation such as a consideration of the advantages and disadvantages of globalisation. However, this must be considered as low-level evaluation and awarded accordingly.* |
| **Also give credit for:** | • relevant use of evidence and examples not contained in the data<br>• diagrams<br>• an overall judgement on the issues raised |

**[25]**

**7.**

**Explanation**

- Define trade, investment, economic growth or any other relevant term except recession.
- Explain the concept of world recession, eg
  - define 'recession' or 'world recession' (one definition would be the UK official definition applied to the global economy of two successive quarters of negative GDP growth)
  - explain likely features of recession such as lower investment, higher unemployment, lower inflation or deflation (do not credit in such an explanation reference to negative GDP growth if this has already formed part of a definition, unless some points are added in order to provide an explanation)
  - comment on 'world', perhaps suggesting that it may be a term used when only some key areas of the global economy are in recession; referring to how a key area such as the US might draw other parts of the global economy into recession; make reference to the global nature of the recession of recent years
- Analyse how trade and investment might help cause economic growth, eg

**Trade:**

- a country's improved export performance can help create growth by output being increased to meet higher overseas demand and this then stimulating a multiplier effect which will lead to higher output and employment beyond the export sector itself
  - trade as a stimulant to innovation
  - trade as a stimulant to investment
  - trade as an incentive for a range of supply-side reforms
  - trade encouraging competition, so providing a possible stimulant to static and dynamic efficiency

**Investment:**

- investment is a component of AD so higher investment might produce higher actual growth but it is also a supply-side determinant of growth in that it helps create higher output through increased rates of innovation and labour productivity
  - investment producing growth-inducing structural change
  - investment producing growth-inducing infra-structure developments
  - investment in human capital
  - any other valid point

Reward references to the UK/other economies

**[9]**

8.

**For candidates who:**

Define / explain

- exchange rate
- exchange rate system
- appreciation of exchange rate
- the concept of the 'average family'
- floating exchange rate system, perhaps with comparative reference to fixed exchange rate systems.

Explain how the exchange rate of a currency may be caused to rise within a floating exchange rate system, e.g:

- trade flows. As exports are demanded there will be a greater demand for the currency of the exporting country by those overseas customers buying those exports and being required to pay with the foreign currency in question. The country concerned will be importing goods and services. This will require buyers to sell the domestic currency in order to buy foreign currencies with which to buy imports. The increase in demand for the currency arising from higher export sales may be greater than the increase in supply of the currency arising from increased imports, all other things being equal, the exchange rate will rise.
- net inward investment
- speculative movements resulting in increased purchases of the currency
- 'dirty floating', i.e. official intervention in the foreign currency market in a floating exchange rate system in order to buy the currency
- higher interest rates relative to other comparable countries
- external economic stimuli, eg a strong and sustained US recovery which can be related to trade and / or investment flows
- external shocks, eg a banking crisis
- any other relevant factor.

For those candidates who adopt a basic supply and demand approach to the question without citing specific determining factors such as trade, award a maximum of 10 marks for the answer as a whole.

Make use of diagrams in the analysis.

**[15]**

**9.** **Explanation:**

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|---|
| explain the concept of global investment, eg<br>• define global investment in terms of international capital flows, perhaps with a reference to the role of multinational companies in this respect<br>• explain the growth of global investment, eg in terms of outsourcing, utilising cheap labour, establishing ownership of raw materials and energy supplies<br>• define / explain the term global investment, eg expenditure to generate future income; spending on capital equipment to increase output, perhaps to displace labour; human capital<br>• simply define global investment in terms of 'total investment in the world'. |

**Analysis:**

| |
|---|
| explain the concept of global investment, eg<br>• it promotes economic growth in that it is an injection into the circular flow of income, generating higher AD through the multiplier process but also adding to the productive capacity of the recipient economy<br>• its impact on the further economic development of less-developed economies<br>• human capital formation helping to promote skills within a country's workforce<br>• financing innovation<br>• helping to improve productivity<br>• a general improvement in business efficiency |

**[9]**

**10.**

It is hoped that candidates will briefly explain the macroeconomic criteria by which consequences can be measured, before providing some discussion of the potential impact of appreciation and arriving at a final judgement.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

**Issues and areas for discussion include:**

| | |
|---|---|
| **Introduction** | • appreciation versus depreciation of currency<br>• criteria for measuring macroeconomic consequences<br>• exchange rate systems. |
| **Developing the response to the question:** | • the potential impact on economic growth as exports perhaps become more difficult to sell overseas<br>• the possible stimulus to growth as imports of raw materials and energy become cheaper<br>• the possible benefits to inflation as lower demand for exports reduces pressure on domestic production and resources and imports of goods and services are cheaper<br>• the impact on employment as cheap imports threaten domestic production and hence jobs and as the overseas demand for exports falls away<br>• the impact on a significant tourist industry in the economy concerned and hence on growth and jobs in an expanding sector of an increasingly service economy<br>• the impact on the balance of payments on current account given relative changes in exports and imports of goods and services<br>• the strong currency making inward investment less attractive, perhaps affecting growth and jobs. |
| **Evaluation** | • the extent of the rise in the exchange rate<br>• the external value of the currency from which the rise begins to take place<br>• the significance of the exchange rate factor compared to other influences on the macro-economy<br>• whether or not exports have been an important, or sole, cause of growth for an economy<br>• elasticity conditions for exports and imports<br>• the period of time in which the appreciation lasts<br>• the role of speculators in terminating the rise<br>• the effectiveness / speed of a corrective market mechanism or a decision to ‘dirty float’ |

| | |
|---|---|
| | • the state of the world economy as the appreciation takes place, eg might a prosperous world merely absorb higher prices arising from a country's exchange rate appreciation?<br>*Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of appreciation, but with minimal reference to the macro-economy. However, this must be considered as low-level evaluation and awarded accordingly.* |
| **Also give credit for:** | • reference to the UK / other economies<br>• diagrams<br>• an overall judgement on the issues raised |

**[25]**

**11.** It is hoped that candidates will place the answer firmly into the context of the EU and not simply base the answer on the impact of the UK borrowing requirement, so that any final judgement is sufficiently comprehensive and relevant.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

**Issues and areas for discussion include:**

| | |
|---|---|
| **Introduction** | • government borrowing<br>• budget deficit<br>• PSNCR as one technical measure<br>• the EU fiscal position as a whole<br>• the Stability and Growth Pact<br>• proposals for some regulation of fiscal policy independent of government<br>• criteria for measuring the impact. |
| **Developing the response to the question: Application** | • line 3 reference to Keynesian economics and tolerance of deficits because of the benefits they can bring<br>• lines 21-22 reference to the multiplier process and aggregate demand<br>• lines 28-29 the potential impact of borrowing on interest rates and (line 40) on inflation<br>• lines 36-39 EU fiscal stimulus counterbalancing any loss of business and consumer confidence |
| **Developing the response to the question: Analysis** | • the reasons behind the increased borrowing<br>• the benefits of government spending<br>• the benefits of tax cuts<br>• the potential impact of increased borrowing on interest rates within the EU and whether greater differences emerge between interest rates in the euro area members of the EU and non-euro members of the EU<br>• the dangers of 'crowding-out' of private sector activity amongst member countries<br>• the uncertainty that increasing borrowing can create for households and businesses<br>• the potential impact on the nation's international credit rating and hence on its ability to borrow in the future on favourable terms<br>• the possibility of seeking help from, for example, the IMF and the impact of this<br>• the economic pain associated with eventual remedial measures |

| | |
|---|---|
| | such as spending cuts and tax increases<br>• the impact on the UK if EU fiscal expansion generally provides a stimulus to the UK economy<br>• the impact on the value of the euro and the implications of this for the external value of the pound<br>• any problems which emerge may become EU-wide problems making recovery even harder to achieve<br>• measuring the impact in terms of growth, jobs and prices. |
| **Evaluation** | • the relevance of the scale of borrowing<br>• assessment in terms of the net impact, eg do the benefits clearly outweigh any problems?<br>• the economic context in which the borrowing is taking place, eg recession or recovery<br>• whether the fiscal policy is accompanied by monetary expansion and the possible impact of this combination of expansionary policy<br>• the perceived costs associated with fiscal balance or surplus<br>• the speed with which borrowing can be reduced<br>• the confidence that households and businesses have in government efforts to stabilise the fiscal position<br>• whether the EU is at one with fiscal policy around the world or very much out on a limb.<br>*Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of borrowing, or of higher public spending and / or higher taxation, but with no attempt to place it into the context of the UK and the EU. However, this must be considered as low-level evaluation and awarded accordingly. If these pros and cons are put into the context of the UK and EU, perhaps with an explicit attempt to prioritise, greater credit can be given.* |
| **Also give credit for:** | • relevant use of evidence and examples not contained in the data<br>• diagrams<br>• an overall judgement on the issues raised |

**[25]**

**12.**

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

**Issues and areas for discussion include:**

| | |
|---|---|
| **Introduction** | • sustained economic growth<br>• living standards<br>• reference to general living standards in the UK<br>• criteria on which judgements are to be made. |
| **Developing the response to the question: Application** | • line 5 GDP per capita as a basic measure of living standards; higher growth may lead to higher GDP per capita in the UK<br>• lines 17-19 references to aspects of the quality of life, which may or may not benefit from economic growth<br>• lines 29-31 Africa as a major supplier of raw materials which could facilitate UK economic growth and thus impact on living standards<br>• lines 36-37 Africa as a potential competitor to the UK in the world economy with a possible adverse impact on UK growth and living standards<br>• discussion of whether both can be pursued at once |
| **Developing the response to the question: Analysis** | • how UK manufacturing might benefit from African demand for manufactured goods and components and hence contribute to economic growth<br>• the potential, eventual competition for UK manufacturing and a consequent adverse impact on growth<br>• the potential benefits to UK financial services helping African development, providing further stimulus to this traditionally successful growth sector<br>• investment opportunities opening up in Africa<br>• greater accessibility to African raw materials and energy supplies, helping to facilitate UK economic growth<br>• benefits to other UK services, e.g. tourism<br>• an assessment of the net effects on UK economic growth and therefore on living standards<br>• the impact on employment, the more successful and competitive Africa becomes, and hence on average incomes<br>• the possible adverse impact on manufacturing regions of the UK, while more service based regions may benefit, so adversely affecting disposable income in the former<br>• the overall impact on income per head depending on the UK response to developments in Africa<br>• the impact on UK living standards if African development begins to |

| | |
|---|---|
| | allow successful encroachment on other UK markets<br>• growth and the quality of life, allowing a widening out of the discussion on living standards. |
| **Evaluation** | • a comparison of short run and long run effects<br>• the economic changes in Africa may be so gradual and piece-meal as to have little measurable impact on the UK<br>• however, countries such as Mozambique growing rapidly in the last decade, albeit from lowly positions, may bring pressure to the developed world sooner than was originally thought<br>• the net effect may be small if Africa compensates for the decline of other UK markets (temporary or permanent)<br>• the potential benefits of African expansion in the context of UK recession, opening up markets which had not been envisaged just a few years earlier<br>• the difficulty of making generalisations, eg parts of Africa providing new sources of energy and raw materials to help UK growth while others begin to present competition for UK manufacturing<br>• the possibility of having to avoid generalisations because of the diverse character of the continent, so that comments on the potential impact on the UK economy and its living standards are only pertinent to individual economies; stark contrasts between various parts of Africa are likely to persist<br>• the possibility of complementarity, eg African expansion of secondary activities requiring and stimulating the UK tertiary sector.<br>• the environmental impact and the increasing demand on resources arising from growth in Africa, possibly impacting on the UK, eg higher oil prices.<br>*Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of growth in the context of living standards, with no attempt to place it into the context of the UK / Africa and with only limited reference to living standards. However, this must be considered as low-level evaluation and awarded accordingly. Marginally more credit could be given to this type of evaluation if placed in the context of the countries concerned.* |
| **Also give credit for:** | • relevant use of evidence and examples not contained in the data<br>• diagrams<br>• an overall judgement on the issues raised |

**[25]**

**14.** Define the concept of macroeconomic policy objectives in terms of reference to the criteria by which macroeconomic performance is measured

Explain macroeconomic policy objectives, e.g.

- economic growth can be defined as increases in the productive capacity of an economy. Such increases will determine the long-run trend rate of growth and will shift the LRAS curve and the PPC to the right. Actual growth can be measured by GDP
- price stability
- full employment or low unemployment
- improving the performance of the balance of payments on current account
- exchange rate stability
- fiscal stability

Explain the importance of macroeconomic policy objectives to an economy, eg

- price stability and international competitiveness
- economic growth and living standards
- the balance of payments on current account
- the importance of reducing unemployment
- an essential requirement for efficient policy making
- they establish benchmarks against which the authorities, NGOs, economists, business can measure success / failure within the economy
- they allow policies to be formulated in good time if objectives seem increasingly unlikely to be met
- because of the inherent weaknesses there may be in an economy, it is vital to have objectives which give a sense of direction and which provide the prospect of being able to remedy those weaknesses
- if achieved, they create a stable economic climate for the private sector

**[15]**

**16.** **For candidates who:**

Define/explain

- exports/imports
- balance of trade in goods and services
- define / explain the term global investment, eg expenditure to generate future income; spending on capital equipment to increase output, perhaps to displace labour; human capital
- the balance of trade in goods and services in the context of the current account or the balance of payments as a whole
- the possible nature of a country's exports and imports given its own stage of development
- the UK may adopt a strategy of export-led growth. This may be because it is perceived as the most rapid way of achieving economic growth and/or because it feels itself to be very competitive in world markets. It may recognise that a good export performance will initiate a multiplier effect which should benefit the economy beyond the export sector and that exports may well encourage supply-side improvements such as innovation and higher productivity to sustain good external performance
- favourable terms of trade (examiners note that this term is not included in the specification but candidates may well discuss relative export/import prices even if the term is not used)
- the need for imports of raw materials, energy and/or finished goods, e.g. because the UK has lost so much of its industrial base
- a sustained favourable exchange rate motivates an export drive
- absolute/comparative advantage, e.g. UK comparative advantage in financial services
- the impact on UK exports of overseas recession, especially the US and the EU as far as the UK is concerned
- exchange rate movements
- relative inflation rates
- relative rates of productivity (traditionally unfavourable for the UK) and impact on competitiveness
- the ability of the UK to impose protectionist policies

**[15]**

17.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

**Issues and areas for discussion include:**

| | |
|---|---|
| **Introduction:** | • common macroeconomic policies<br>• economic recovery<br>• the significance of the rest of the EU to the UK<br>• the criteria by which the impact on the UK economy might be assessed. |
| **Developing a response to the question:** | • the implications for economic growth<br>• the impact on employment / unemployment<br>• the consequences for the balance of payments on current account<br>• the effects on the £ / € exchange rate<br>• the greater likelihood of avoiding a period of deflation<br>• the dangers of inflationary pressures building up<br>• the further development of the SEM in a period of recovery and increasing prosperity. |
| **Evaluation:** | • the possible significance of a slow recovery<br>• the possible supply problems if recovery is too rapid<br>• whether the UK can take advantage of EU recovery<br>• whether the advantage lies more with the rest of the EU in terms of exporting to the UK than for the UK exporting to the rest of the EU<br>• the significance of EU recovery for the UK relative to recovery taking place elsewhere in the world, i.e. in markets which have significance for the UK<br>• whether or not recovery has implications for the movement of labour in and out of the UK and how this affects the UK labour market. |
| **Also give credit for:** | • relevant use of evidence and examples not contained in the data<br>• diagrams |

**[25]**

**18.**

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

**Issues and areas for discussion include:**

| | |
|---|---|
| **Introduction:** | • reference to the quote in the question<br>• the recent experience of rising oil prices<br>• criteria for assessing macroeconomic performance |
| **Developing a response to the question:** | • the implications of this for the pattern of production<br>• consequences for the balance of payments on current account<br>• inflation<br>• the impact of inflation on jobs<br>• the impact of inflation on economic growth<br>• rising oil prices and business and consumer confidence<br>• implications for government revenue and expenditure<br>• the impact on export performance |
| **Evaluation:** | • whether the oil price increases are simply building on past price increases or whether they represent a supply-side shock of which there has been little or no recent experience<br>• whether or not petrol taxes are reduced to compensate for higher oil prices<br>• mature economies having less dependency on oil<br>• whether price increases are sustained over a long period of time<br>• whether, as in the UK's case, an economy is also an oil exporter as well as an importer<br>• whether rising economic growth and inflation-reducing forces are in evidence to dull the impact of rising oil prices |
| **Also give credit for:** | • relevant use of evidence and examples from the UK / other economies<br>• diagrams |

**[25]**

**20.**

It is hoped that candidates will clarify the criteria by which consequences can be measured and then relate China's growth to the performance of the UK economy in an evaluative way.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

**Issues and areas for discussion include:**

| | |
|---|---|
| **Introduction:** | • recession<br>• economic growth<br>• criteria for assessing consequences |
| **Developing a response to the question:** | • reference to the growth performance of the Chinese economy<br>• reference to the problems of the UK economy<br>• why continued growth of a major economy may be important to another country in recession<br>• economic growth<br>• the balance of payments<br>• employment / unemployment<br>• investment flows<br>• inflation<br>• China's growth perhaps causing inflation exacerbated by the UK pursuing a potentially inflationary policy of quantitative easing and fiscal expansion<br>• the impact on the UK of China taking increasing control over world resources by its investment<br>• China's contribution to the IMF which might ultimately be of benefit to the UK<br>• impact on the exchange rate. |
| **Evaluation:** | • the extent to which China wishes to share the 'proceeds' of growth with other countries by importing more goods<br>• although the phrase 'global recession' is used it may be that some other UK markets are not faring too badly, so making China's contribution to UK economic performance less significant<br>• the ability of the UK to maintain / increase market share in China<br>• China is pushing ahead with export-led growth which may not be in the long-term interests of UK manufacturing<br>• the extent to which the UK economy welcomes Chinese investment in its economy and whether China reciprocates.<br>*Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of growth and with no attempt to place it into the context of the UK/China.* |

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| | *However, this must be considered as low-level evaluation and awarded accordingly.* |
| **Also give credit for:** | • relevant use of evidence and examples not contained in the data<br>• diagrams |

**[25]**